
The Canadian Small-Landlord T776 Field Guide

A plain-English reference for Canadian landlords filing Form T776

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Free guide. The workbook it describes is a separate paid product.

This guide is a bookkeeping aid. It is not tax, legal, or accounting advice. Check your categories and allocations with a qualified accountant.

1. What T776 is

Form T776 is the **Statement of Real Estate Rentals**. It is filed with your T1 personal income tax return by landlords who hold rental property in their own name - one person, a couple, or a small group of individuals each filing a T1. Most individual landlords report their rental income and expenses on Form T776; it is the ordinary route for an owner-operator, not an advanced or optional schedule.

You do not file a separate tax return for a rental property. The form gathers the rental income on one side and the related expenses on the other, and produces the net rental income (or loss) that flows into your T1. The rest of this guide walks the lines of that form.

A note on scope

This guide is about an individual who owns rental property in their own name. If the property is held inside a corporation, a trust, or a partnership that files its own return, the reporting is different and is outside what is covered here. Where that is your situation, speak to an accountant.

*Everything in this guide that describes a rule describes it as **what CRA's published guidance says**. It is a reference, not advice. Where a line is genuinely uncertain for your property, the correct move is to ask a qualified accountant - not to guess.*

2. The T776 expense line map

These are the expense lines on Form T776, with the code number as it appears on the form. The codes and line names below are used exactly as CRA prints them. The description says, in plain English, what belongs on each line.

Code	Line name	What belongs on it
8521	Advertising	The cost of advertising a rental - online listings, newspaper ads, a yard sign, or a posting fee. Claim it to the extent it relates to the rental.
8690	Insurance	Premiums for fire, liability and contents insurance covering the rental property for the period it was available to rent. Your own homeowner policy on your residence stays personal.
8710	Interest and bank charges	Mortgage interest (the interest part only, never the principal), interest on money borrowed to buy or improve the rental property, and bank service charges on the account you run the rental through.
8810	Office expenses	Small running costs of administering the rental: stationery, postage, printing, and the rental portion of a phone or internet line you use to manage it.
8860	Professional fees (includes legal and accounting fees)	Fees paid for the rental itself - legal work on a lease or a tenancy dispute, accounting and bookkeeping fees, appraisals. Legal fees that are part of buying the property are a capital cost, not this line.
8871	Management and administration fees	Amounts paid to a property manager, letting agent or rental platform to manage the unit, collect rent or find tenants.
8960	Repairs and maintenance	Labour and materials that restore the property to its previous condition - fixing something broken, patching, repainting between tenants. Work that improves the property beyond what it was is capital, not this line.
9060	Salaries, wages and benefits (including employer's contributions)	Pay to people who work in the rental operation, together with the employer's share of CPP and EI and any source deductions you remit for them.

Code	Line name	What belongs on it
9180	Property taxes	Municipal and school property tax on the rental property for the period it was rented, including the rental share of a property that is only partly rented.
9200	Travel	Travel to and from the rental property for rental purposes where you are not using a vehicle claimed under line 9281 - airfare, taxi or transit. Do not claim both a mileage rate and the actual cost of the same trip.
9220	Utilities	Heat, electricity and water for the rental property, including the rental share of utilities you pay on a building you also live in.
9281	Motor vehicle expenses (not including capital cost allowance)	Kilometres driven for rental purposes multiplied by CRA's prescribed rate, supported by a mileage log. Capital cost allowance on the vehicle is claimed separately and is not part of this line.
9270	Other expenses	Legitimate rental costs that do not fit any line above - for example a bookkeeping software subscription used for the rental, or small one-off costs. If you are unsure whether something belongs here, ask an accountant.

Income and total lines

These are the lines that carry income in and the totals out. They are not expenses, but they are the lines most people read last and misread first.

Code	Line name	What belongs on it
8141	Gross rents	The total rent you collected for the year on the property.
8230	Other income	Other rental-related income, such as fees you charge tenants for parking, laundry or extra services.
8299	Total gross rental income	Line 8141 plus line 8230 - all the rental income before any expenses.
Amount A	Total expenses	Your total deductible expenses after the personal portion has been removed. This is the figure you deduct.
9949	Total for personal portion	The expenses that relate to your own use of a partly rented property. They are reported here and are not deducted.
9369	Net income (loss) before adjustments	Line 8299 minus amount A. This is the rental figure that flows into your T1 personal return.

3. Repairs or capital - the line that trips people up

The most common mistake on Form T776 is putting a capital improvement on a repairs line. CRA's guidance draws the line with one test.

The test

Does the work restore the property to its previous condition, or does it improve it beyond what it was?

- **If it restores the property**, it is a current expense. You deduct it this year, on line 8960 Repairs and maintenance.
- **If it improves the property beyond what it was**, it is a capital expense. It joins the cost of the property instead of being deducted now. Capital costs are generally written off over time through capital cost allowance, which is not the same thing as a repair.

Current expense - repairs (deduct this year)	Capital expense - improvements (add to cost)
• Fixing a broken furnace so it works again	• Replacing the entire furnace with a better model
• Patching drywall and repainting the patch	• A new roof
• Replacing a single leaking faucet	• A kitchen renovation
• Repainting between tenants	• Adding a bathroom
• Patching a roof leak	• Finishing a basement
	• Replacing all the windows

Grey areas go to an accountant. Work that is partly repair and partly improvement, a furnace replaced during a larger renovation, a roof patched twice in one year and then replaced - these are the cases where a wrong call is expensive. Do not guess. Ask a qualified accountant before you file, and keep their answer with your records.

4. Renting part of your home

When part of your home is rented and part is yours, the costs that serve the whole home have to be split. You claim the rental share and leave your own share personal. CRA's guidance accepts a reasonable method; **square footage is the usual one**.

The split is simply the rental area divided by the total area. Below is a full worked example. Every dollar figure in it is arithmetic done in the source script that built this PDF - nothing here is a claimed saving or a survey result.

The example, step by step

1. The home is **2,000 square feet**. The basement suite you rent is **800 square feet**.
2. $800 \div 2,000 = 0.40$. The rental share is **40%** and **60%** of the home stays personal.
3. Whole-home costs for the year: mortgage interest **\$12,000**, property taxes **\$4,500**, insurance **\$1,500**, utilities **\$3,000**. Together that is **\$21,000**.
4. Apply 40% to each: interest \$4,800, property tax \$1,800, insurance \$600, utilities \$1,200 - a rental total of **\$8,400**. The personal 60%, **\$12,600**, is not deducted.
5. Costs that relate only to the suite are claimed at 100%: a suite-specific repair of **\$900** and **\$150** of advertising for a tenant.
6. Income: gross rent of **\$18,000** for the year.
7. Total expenses (amount A) = $\$8,400 + \$900 + \$150 = \mathbf{\$9,450}$.
8. Net rental income (line 9369) = $\$18,000 - \$9,450 = \mathbf{\$8,550}$.

The worked table

Line	Item	Full-year amount	Share claimed	Amount on T776
8141	Gross rents	-	-	\$18,000.00
8710	Mortgage interest	\$12,000.00	40%	\$4,800.00
9180	Property taxes	\$4,500.00	40%	\$1,800.00
8690	Insurance	\$1,500.00	40%	\$600.00
9220	Utilities	\$3,000.00	40%	\$1,200.00
8960	Suite repair (suite only)	\$900.00	100%	\$900.00
8521	Advertising (rental only)	\$150.00	100%	\$150.00
Amount A	Total expenses	-	-	\$9,450.00
9949	Personal portion (reported, not deducted)	-	60%	\$12,600.00
9369	Net income before adjustments	-	-	\$8,550.00

The arithmetic check. Rental rows: $\$4,800 + \$1,800 + \$600 + \$1,200 + \$900 + \$150 = \$9,450.00$, which is amount A. Net: $\$18,000 - \$9,450.00 = \$8,550.00$. The shared pool splits cleanly: $\$8,400$ rental + $\$12,600$ personal = $\$21,000$.

5. Mileage and travel

Driving to the rental to fix a faucet, meet a tenant or buy supplies is a rental expense. CRA's guidance requires that you be able to support the kilometres you claim: **a log with the date, the destination, the purpose and the kilometres**. No log means no supported deduction.

CRA's prescribed automobile rate for 2026 is **\$0.72 per kilometre for the first 5,000 kilometres** driven for rental (or business) purposes, and **\$0.66 per kilometre after that**. Both figures are CRA's published rates, not ours.

A worked log

Date	Destination	Purpose	Kilometres
2026-01-15	88 Lakeshore Rd, Fernie BC	Winter maintenance check	1,240
2026-04-10	88 Lakeshore Rd, Fernie BC	Spring repairs and supply run	1,310
2026-07-22	88 Lakeshore Rd, Fernie BC	Tenant turnover and cleaning	1,265
2026-10-05	88 Lakeshore Rd, Fernie BC	Fall inspection and furnace filter	1,290
	Total		5,105

Turning the log into a deduction (line 9281)

First 5,000 km × \$0.72	\$3,600.00
105 km above the tier × \$0.66	\$69.30
Total deduction on line 9281	\$3,669.30

That is the whole calculation: 5,105 logged kilometres become a \$3,669.30 deduction because 5,000 km are rated at \$0.72 and the last 105 km at \$0.66. Without the log, none of it is claimable.

The log itself is the evidence. Four lines with a date, a destination, a purpose and a number is all CRA expects to see - but it expects to see all four, for every trip you count.

6. The six-year rule

CRA requires records to be kept **for six years from the end of the tax year to which they relate**. If the records for the 2026 tax year would disappear, they have to stay until the end of 2032. This is CRA's published rule, and it applies whether or not you claimed anything that year.

What to keep

- Lease agreements and a record of the rent received (bank statements or a rent ledger).
- Repair and supply receipts, itemized.
- Vendor invoices, including contractor invoices that show labour and materials separately.
- Insurance documents for the rental property.
- Property tax bills.
- Mortgage interest statements from your lender showing the interest portion.
- Utility bills for any utilities you pay on the rental.
- Your mileage log, with date, destination, purpose and kilometres for every trip.

Digital copies are fine. A scanned PDF or a phone photograph kept in a dated folder does the same job as paper, as long as it is readable, complete, and kept for the full six years.

The practical version of this rule: keep everything at the time. The receipt you throw away in March is the one you need in November.

7. Working the form in order

Form T776 reads top to bottom in a fixed order, and the sensible way to approach it is to fill it in that same order. This is the sequence, using the line numbers from the map in section 2.

- 1. Income first.** Enter the rent you collected on 8141 and any other rental income on 8230. Added together they give 8299, total gross rental income.
- 2. Then the expenses.** Put each cost on its own line from the map. Costs that relate only to the rental unit go in at 100%.
- 3. Then the split.** For costs shared with your own home, work out the rental share (section 4) and claim only that share on the expense line. The personal share is reported at 9949 and is not deducted.
- 4. Then add up what you are claiming.** The subtotal of the expense lines you are claiming is amount A, total expenses.
- 5. Then subtract.** 8299 minus amount A gives 9369, net income (loss) before adjustments. That is the figure that flows into your T1.
- 6. Then keep everything.** The receipts and the log behind every figure stay for six years (section 6).

Two habits make the rest of it easy. Fill the form from the records, not from memory. And if a figure cannot be traced to a receipt or a log line, treat it as unproven until it can.

8. Expenses CRA does not allow

Four things regularly appear on drafts of a T776 that should not be there. If you recognise one of yours, take it off before you file.

Not allowed	Why, and what to do instead
Mortgage principal	Only the interest is a deductible expense (line 8710). The principal repayment builds your equity in the property and is not deducted.
Your own labour	If you do the repairs yourself you cannot pay yourself a wage and deduct it. The materials you buy are deductible; your time is not.
Land transfer tax	It is a cost of acquiring the property, so it joins the cost base of the property instead of appearing as a current expense. Legal fees on the purchase sit in the same place.
Fines and penalties	Parking tickets, municipal fines, late-payment charges and tax penalties are not deductible.

If you are not certain whether something is on this list, that is a question for an accountant. It is a short, cheap question; an assessment later is neither.

9. Before you file - a 12-item checklist

Work down this list with your records open. Each item is something you can check yourself, without advice.

☐	Total rent collected for the year matches your bank deposits and lease records (line 8141).
☐	You have a receipt or invoice for every expense you intend to claim.
☐	Every expense is sitting on the correct T776 line.
☐	Shared home costs are split by a method you can explain and defend (square footage is the usual one).
☐	Costs that relate only to the rental unit are claimed at 100%, not split.
☐	You have separated repairs (current expense) from improvements (capital).
☐	Your mileage log records date, destination, purpose and kilometres for each trip.
☐	You have not claimed mortgage principal, your own labour, land transfer tax or any fine.
☐	Property tax and insurance figures match your municipal and insurer documents.
☐	The personal portion of shared costs is reported at line 9949 and is not deducted.
☐	Your CCA decision is written down, whether you claim capital cost allowance this year or not.
☐	Your net figure at line 9369 is the number you will carry to your T1.

If you cannot tick a box, that is the next thing to fix - not a reason to file anyway.

10. Terms used in this guide

Short, plain definitions of the words this guide uses. They describe what each term means on the form, not how it applies to your own situation.

Term	What it means here
CRA	the Canada Revenue Agency, the federal body that publishes Form T776 and the guidance referred to throughout this guide.
Form T776 / Statement of Real Estate Rentals	the schedule filed with a T1 personal income tax return by an individual who owns rental property in their own name.
T1	the personal income tax return that Form T776 is filed with.
Gross rents (8141)	the total rent collected for the year, before any expenses.
Amount A	total deductible expenses, after the personal portion of shared costs has been removed.
Personal portion (9949)	the share of shared costs that relates to your own use of the property. It is reported on the form and is not deducted.
Net income (loss) before adjustments (9369)	gross rental income minus amount A. This is the figure carried to your T1.
Current expense	a cost that restores the property to its previous condition. Deducted in the year it is incurred - for repairs, on line 8960.
Capital expense	a cost that improves the property beyond its previous condition. Added to the cost of the property rather than deducted in one year.
CCA (capital cost allowance)	the write-off of a capital cost over time. The property classes and the rates are set by CRA.
Mileage log	the record of date, destination, purpose and kilometres that supports a motor vehicle claim on line 9281.

11. Where the free guide stops

This guide tells you which lines exist, what belongs on each one, and how the arithmetic works. What it does not do is the arithmetic for you across a whole year of rents, receipts and trips.

T776 Rental Books is a Microsoft Excel workbook, eight tabs, \$29 CAD one-time. The tabs are Setup, Rent Ledger, Expenses, Mileage, T776 Summary, Capital & CCA, T776 Codes and START HERE. You enter your rents, your expenses and your kilometres; the workbook totals each line, works out the rental share of the costs you share with your own home, and hands you the numbers to copy onto Form T776.

To be plain about what each thing is: **this PDF is a free reference guide** - keep it, share it, there is nothing to pay. **T776 Rental Books is a separate paid file**, one purchase at \$29 CAD, and it is the working spreadsheet rather than a document you read.

Both are on one page: <https://maxhemmerich.github.io/t776-rental-books/>

Quick comparison

	This free guide	T776 Rental Books (paid)
Format	PDF reference	Microsoft Excel workbook
Price	Free	\$29 CAD, one-time
Contents	Line map, worked examples, checklist	Eight tabs: Setup, Rent Ledger, Expenses, Mileage, T776 Summary, Capital & CCA, T776 Codes, START HERE
Does the maths for you	No	Yes - totals each line and the rental share

Disclaimer

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Nothing in this guide or in T776 Rental Books is tax, legal or accounting advice, and neither is a substitute for advice on your own situation. Forms change and rates change: check the current CRA guidance or your accountant before you file.